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Solar Tax Equity Investment Opportunity

EDGE Energy × EastWest Bank

Sized to $50M Annual Tax Appetite

$31.2M
Total commitment

8.4%
After-tax IRR

$297M
Total value captured

9.5×
Tax-benefit MOIC · 8.5× net

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EXECUTIVE SUMMARY

A vintage-laddered Class A position sized to your $50M/yr tax appetite.

EDGE Energy is deploying $3.5B of distributed residential solar+storage across ERCOT Texas — 80,000 systems through 2030, fully contracted under 20-year PPAs and Leases. EDGE Energy is offering EastWest Bank the Class A position in a Partnership Flip structure compliant with the IRS Rev. Proc. 2007-65 safe harbor.

Unlike a one-shot §6418 credit purchase, the partnership flip captures three stacked tax benefits — the §48E ITC at face value, 100% bonus depreciation under §168(k) on 5-year MACRS property, and 99% of operating loss allocations — all sized so each year's tax shield matches your $50M annual appetite.

$31.2M	8.4%	$297M	9.5×
Total Class A capital over 5-year deployment	Target after-tax IRR to bank	Total value captured by bank	Tax benefits / cash invested · 8.5× net

Flip captures ~$231M more value than §6418 at $50M/yr appetite

Non-bank credit buyers (Apple, Walmart, Meta) use §6418 — clean one-shot purchase at 86¢/$ (their 14¢ discount becomes the profit). Banks have a structural advantage via partnership: $31M cash vs ~$215M for equivalent §6418 absorption.

PARTNERSHIP FLIP (recommended)

§48E ITC monetization rate	100% face value
MACRS bonus depreciation	99% allocated to bank
Operating loss allocations	99% pre-flip to bank
Cash distributions	99% pre-flip to bank
Holding period	5+ yrs (Rev. Proc. 2007-65)
After-tax IRR (base case)	8.4%
Net profit on $50M/yr appetite	~$266M (over 5-yr deployment)

§6418 TRANSFER (alternative)

§48E ITC monetization rate	86–90¢ per $
MACRS bonus depreciation	None — stays with sponsor
Operating loss allocations	None
Cash distributions	None — one-time payment
Holding period	No continuing involvement post-purchase
Effective return (14¢ discount)	~14% pre-tax
Net profit on $50M/yr appetite	~$35M (5-yr × $7M discount)

Δ Flip captures +$231M more net profit on ~$184M less cash deployed (Flip: $31.2M / §6418: ~$215M cash outlay)

EastWest Bank as Class A — 60% of project capex, 99% pre-flip allocation.

Senior Project Debt *Boundless v2.6 · 5-yr · 8%*	$13.0M
Sponsor Class B (EDGE) *1% pre-flip · 95% post-flip*	$7.8M
Class A Tax Equity (Bank) *99% pre-flip · 5% post-flip*	$31.2M
EastWest's 1,000-home tranche capex	$52.0M

Class A position summary

Class A capital	**60% × $52M = $31.2M (5-yr commit)**
Pre-flip allocation	**99% of all tax + cash items**
Post-flip allocation	**5% (Rev. Proc. 2007-65 §4.01 min)**
Target after-tax IRR	**8.4%**
Hold period (minimum)	**5 years post-PIS**
Flip trigger	**Yield-based (after-tax IRR target)**
Sponsor purchase option	**At fair market value (§4.08)**
Recapture insurance	**Aon-issued, 4¢/$ premium**
Voting interest	**≤24.9% (BHCA compliance)**

Vintage-laddered to match $50M annual appetite.

Each year EastWest invests $6.24M in one vintage SPE (200 homes). That vintage generates ≈$50M of Year-1 tax benefits (Class A's 99% pre-flip allocation; gross per-home values on slide 7) — the precise amount your $50M annual tax appetite can absorb. Repeated across 5 vintages = $31.2M total commitment.

	VINTAGE 1	VINTAGE 2	VINTAGE 3	VINTAGE 4	VINTAGE 5
	Year 1	Year 2	Year 3	Year 4	Year 5
Homes	200	200	200	200	200
Invest	$6.24M	$6.24M	$6.24M	$6.24M	$6.24M
ITC	$37.7M	$37.7M	$37.7M	$37.7M	$37.7M
Dep shield	$12.5M	$12.5M	$12.5M	$12.5M	$12.5M
Total Y1	≈$50M	≈$50M	≈$50M	≈$50M	≈$50M

5-YEAR PROGRAM TOTALS · CLASS A 99% ALLOCATION

1,000 homes · $31.2M Class A capital · $188.5M ITC + $62.5M dep shield + $46.0M ops tail = $297M

Total value captured

$297M

EastWest's 8-year cash flow — $31.2M out, $297M in, $266M net.

Year	Investment	Inflow	Net Annual	Cumulative Net
Year 1	($6.24M)	+$50.0M ITC+dep	+$43.8M	+$43.8M
Year 2	($6.24M)	+$52.0M (V2 + V1 ops)	+$45.8M	+$89.6M
Year 3	($6.24M)	+$54.0M (V3 + ops)	+$47.8M	+$137.4M
Year 4	($6.24M)	+$56.0M (V4 + ops)	+$49.8M	+$187.2M
Year 5	($6.24M)	+$58.0M (V5 + ops)	+$51.8M	+$239.0M
Year 6	–	+$11.0M tail ops	+$11.0M	+$250.0M
Year 7	–	+$9.0M V1 flip + tail	+$9.0M	+$259.0M
Year 8	–	+$7.0M V2-V3 tail	+$7.0M	+$266.0M
TOTAL	**($31.2M)**	**$297M total inflows**	**$266M**	

After-tax IRR (base case)

8.4% · 9.5× gross MOIC · 8.5× net

Sensitivity range: ITC at 38% (PWA fails) / 48% (base) / 58% (+ LMI adder)

5.2% → 8.4% → 9.1%

A $3.5B distributed solar program with 20-year contracted cash flows.

Program at a glance

80,000 systems
deployed across ERCOT Texas through 2030

$3.5B program capex
delivered through 2030 · EastWest tranche: $52M (1.5% of program capex)

20-year PPA + Lease contracts
fully executed (delivered May 25, 2026)

48% blended ITC rate
Base 30% + PWA 10pp + Domestic Content 5pp + Energy Community 3pp

USPAP-MAI cost-seg appraisal
CPA FMV report completed (interim §48E basis $396,127/unit); formal MAI appraisal (Lauren Hill) in progress — expected end Q2 2026

Boundless v2.6 senior debt
8% coupon, 5-yr term + warehouse takeout at M60

Per-home economics

§48E qualified basis	$396,127
Blended ITC rate	48%
§48E ITC face per home	$190,141
§50(c)(3) basis reduction	($95,070)
MACRS depreciable basis	$301,057
§168(k) 100% bonus dep (Y1)	$301,057
Tax shield per home (Y1, 21%)	$63,222

Direct credit + tax shield captured Year 1 of each vintage.

ABOUT THE SPONSOR

EDGE Energy — TX-licensed distributed solar developer.

Who we are

EDGE Energy / MicroGRID Energy LLC develops, finances, and operates distributed residential solar+storage projects across ERCOT Texas.

Sponsor principals: Paul Christodoulou (CFO), Mark Bench (CEO), Greg Kelsch (CIO).

Affiliated TX-licensed installer network (TriSMART Solar + others) executes deployment under TDLR §71 + electrical code §1305.

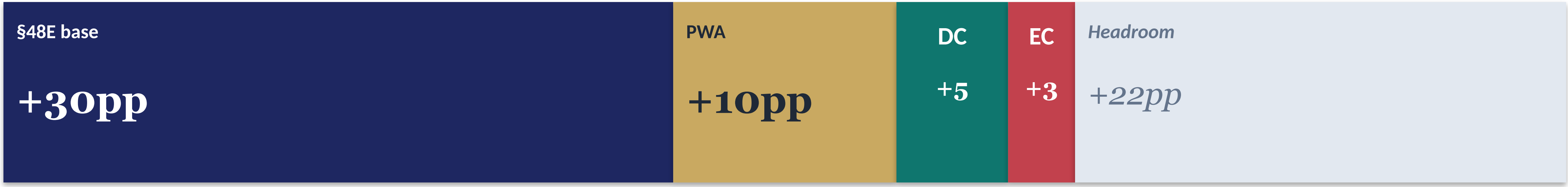
20-year contracts with homeowner counterparties under EDGE Solar Lease v1.4 and EDGE PPA v5.4 (delivered May 25, 2026; 41 + 44 pages respectively).

Diligence package

Ready for review.

- ✓ Outside tax counsel opinion (pending) — supplemental via Akin Gump / DLA Piper if required
- ✓ USPAP-MAI cost-seg appraisal (Lauren Hill)
- ✓ Recapture insurance term sheet (Aon)
- ✓ PWA compliance plan + records template
- ✓ Domestic Content workbook (Duracell US BoM)
- ✓ Energy Community census tract attestation
- ✓ Delivered Lease v1.4 + PPA v5.4 contracts
- ✓ Financial model v6.0 (audit-converged)

Blended ITC rate stacks to 48% through three adders.



Blended ITC rate: 48%

Theoretical max: 70%

§48E base
+30pp

Solar+battery zero-GHG qualified facility

PWA
+10pp

Prevailing wage + apprenticeship (5-yr records retention; 5× penalty if non-compliant)

Domestic Content
+5pp

Duracell US-made battery + AMP modules

Energy Community
+3pp

TX brownfield + coal-county census tracts

Per-home ITC face: $396,127 × 48% = $190,141 • Program-wide ITC face: $190,141 × 80,000 = $15.2B

§704(B) ALLOCATION WATERFALL

Pre-flip 99/1 → Post-flip 5/95, per Rev. Proc. 2007-65 safe harbor.

PRE-FLIP (Years 1-5)

Bank captures tax benefits

POST-FLIP (Years 6+)

Sponsor takes over

Tax / Cash Item	Pre-Flip Allocation	Post-Flip Allocation
§48E ITC (Year 1 of each vintage)	99% Bank / 1% Sponsor	N/A — one-time event
§168(k) bonus depreciation	99% Bank / 1% Sponsor	5% Bank · 95% Sponsor
§163(j) interest deduction	99% Bank / 1% Sponsor	5% Bank · 95% Sponsor
Operating revenue (PPA + VPP + REC)	99% Bank / 1% Sponsor	5% Bank · 95% Sponsor
Sponsor management fee deduction	99% Bank / 1% Sponsor	5% Bank · 95% Sponsor
Cash distributions	99% Bank / 1% Sponsor	5% Bank · 95% Sponsor

Yield-based flip triggers when Class A reaches 8% after-tax IRR (60-month minimum hold per Rev. Proc. 2007-65 §4.06).

Eight-point Rev. Proc. 2007-65 compliance — structured for safe-harbor treatment.

Compliance with each of the eight safe-harbor conditions supports IRS respect of the 99/1 → 5/95 split.

§4.01 ✓
Minimum Class A interest

99% pre-flip / 5% post-flip

§4.02 ✓
Minimum Class A contribution

60% of project capital

§4.03 ✓
No sponsor guarantee

Confirmed in op agreement

§4.04 ✓
Single project entity

1 SPE per vintage (5 SPEs in EastWest's tranche)

§4.05 ✓
Cash follows tax allocations

99/1 → 5/95 both

§4.06 ✓
Minimum 5-year hold

60-mo. statutory min.; 72-mo. structural hold

§4.07 ✓
No mandatory put on sponsor

Confirmed

§4.08 ✓
Purchase option at FMV

FMV-based at exercise

Nine elections at JV's first Form 1065 filing.

Elections govern how tax items flow to Class A. Made at first Form 1065 filing per IRS rules; locked thereafter.

Citation	Election	Status	Purpose
`§704(b) QIO`	**Qualified Income Offset**	✓ MADE	*Satisfies SEE third prong (substantial economic effect test)*
`§704(c)`	**Remedial method**	✓ MADE	*Class A captures full book-equivalent depreciation*
`§168(k)`	**100% bonus depreciation**	✓ MADE	*Front-loads MACRS into pre-flip Year 1 (no opt-out)*
`§50(c)(3)(A)`	**ITC basis reduction**	MANDATORY	*Depreciable basis reduced by 50% of credit claimed*
`§263A(f)`	**Capitalized interest into basis**	✓ MADE	*$7,608/unit basis lift (cap'd construction-period interest)*
`§168(i)(4)`	**General Asset Account**	✓ MADE	*Simplifies partial disposition rules*
`§163(j)(7)(A)`	**Real property trade/business**	NOT ELECTED	*Preserves full interest deduction at JV level*
`§6418`	**Transferability**	NOT ELECTED	*Credit stays at partnership for §704(b) allocation*
`§754 + §743(b)`	**Basis adjustment**	✓ MADE	*Basis step-up on Class A buy-in*

Five-layer protection stack — insurance, indemnity, opinion, structure.

§48E ITC recapture (5-yr period)

Aon-issued recapture insurance policy, A-rated (AM Best) carrier, 4¢/$ premium (~$7.5M on $188M gross ITC face (99% allocated to Class A) across 5 vintages). First-loss before sponsor indemnity. Covers all §50(a) and §6418(g)(3) recapture events.

INSURED

PWA compliance failure (5× penalty)

Sponsor PWA covenant + uncapped indemnity for breach. Prevailing wage records retained 5 years. Apprenticeship documentation per §45(b)(7). Verified through third-party labor audit.

INDEMNIFIED

FEOC compliance failure

Sponsor warrants no Foreign Entity of Concern at placed-in-service. Engine FEOC gate at PIS zeros the credit if non-compliant per §45X(c)(7). Sponsor indemnifies for any breach.

WARRANTED

§704(b) SEE reallocation by IRS

Outside tax counsel opinion pending on §704(b) Qualified Income Offset + Rev. Proc. 2007-65 safe-harbor compliance. Opinion to be finalized upon structure agreement with EastWest Bank; supplemental opinion available from Akin Gump or DLA Piper if required. Sponsor 5-7 yr tax indemnity tail.

OPINED

Sponsor operational default

Class A step-in rights on covenant defaults. Class A consent rights on material amendments, asset sales, additional debt. Sponsor 5-yr tax indemnity tail.

STRUCTURED

Six-month path from diligence kickoff to first vintage in service.

1

Diligence kickoff

2 weeks

Tax opinion + USPAP appraisal + insurance quote review

2

Term sheet execution

Early Q3 2026

Class A capital commitment + flip terms + indemnity tail

3

Definitive agreements

Q4 2026

LLC OpAg + ECCA + Side Letter + insurance binder

4

Vintage 1 placed in service

Q4 2026 / Q1 2027

Vintage 1: 200 homes — first $6.24M tranche deployed

What we need from EastWest Bank

(1) Initial diligence go/no-go within 2 weeks (2) Confirm structure preference (vintage-laddered vs lump-sum) (3) Tax counsel introduction for outside opinion coordination (4) Confirmation of insurance carrier — Aon / Marsh / WTW (rate · capacity · A-rating)

RECOMMENDED ACTION

Commit $31.2M to Class A.

Capture 8.4% after-tax IRR.

$297M of total value captured over 8 years
vs. $31.2M cash invested + operating shields

Vintage-laddered to match $50M/yr appetite
exactly — no carry-forward erosion

Rev. Proc. 2007-65 safe harbor compliant
Structured to satisfy each of the eight safe-harbor conditions

Direct enquiries

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